

Institutional Reform, Implementation, and Labor-Market Adjustment

Labor Markets and Political/Cultural Institutions – Week 8

Teaching deck draft

Central question

- Why do similar institutional reforms produce different labor-market effects across places, firms, and workers?
- Which part of the reform chain is actually moving: law, implementation, knowledge, compliance, or equilibrium adjustment?
- What labor margin is observed: wages, hiring, firing, contract form, formality, promotion, or mobility?

Distinction from Week 7

- Week 7: why old institutions persist through skills, mobility, networks, public goods, and employer power.
- Week 8: how new reforms work when implementation and adjustment are uneven.
- The object is not legal text alone.
- The object is the chain from reform to worker and firm behavior.

Reform taxonomy

Reform family	Typical labor margin	Why effects differ
Dismissal protection	firing, hiring, turnover	coverage, legal salience, firm size
Enforcement expansion	compliance, formality, wages	local capacity, inspections, evasion
Legal information	take-up, claims, bargaining	baseline ignorance, trust, retaliation risk
Formalization reform	registration, payroll, contracts	private benefits, taxes, enforcement threat
Equal opportunity	hiring, promotion, gaps	discretion, procedures, outside options
Transparency	wages, bargaining, pay gaps	disclosure scope, comparison, employer response
Administrative reform	matching, benefits, job-finding	agency quality, rollout, employer engagement

$$\Delta Y^{labor} = f(\text{legal text, implementation, knowledge, exposure,} \\ \text{firm response, worker response, equilibrium})$$

- Legal text changes rights, costs, procedures, disclosure, or administration.
- Implementation determines whether the change becomes credible.
- Workers and firms respond only if they are exposed and understand the margin.
- Equilibrium adjustment changes incidence and welfare.

Where heterogeneity enters

Stage	Core question	Heterogeneity
Legal change Implementation	What changed on paper? Was it enforced or administered?	scope, exemptions, rollout timing capacity, inspectors, courts, agency quality
Knowledge Exposure	Did actors understand it? Who is covered?	legal awareness, literacy, trust firm size, sector, contract type, worker type
Firm response	How do firms adjust?	compliance, evasion, outsourcing, wage compression
Worker response	How do workers react?	search, claims, mobility, bargain- ing
Equilibrium	What else moves?	spillovers, prices, composition, in- equality

Employment protection and dismissal reform

- Wrongful-discharge doctrines change expected dismissal cost and litigation risk.
- Autor–Donohue–Schwab: staggered state adoption and employment consequences.
- Observed margins: employment, hiring and firing adjustment, turnover, contract composition.
- Interpretation depends on firm size, coverage, worker type, product-market pressure, and legal salience.

Implementation and enforcement

- Enforcement expansions change the probability that noncompliance is detected or sanctioned.
- Almeida–Carneiro: enforcement of labor regulation and informality in Brazil.
- Observed margins: formality, compliance, wages, employment.
- The same enforcement increase can bind large formal firms and miss small informal employers.

Worker beliefs and legal knowledge

- Rights do not bind if workers do not know them or cannot invoke them.
- Bertrand–Crepon: randomized labor-law information in South Africa.
- Observed margins: knowledge, beliefs, take-up, and labor-market behavior.
- Firm response matters: compliance, screening, postings, contract choice, or avoidance.

Firm adaptation and compliance

- Firms can comply, evade, outsource, automate, relabel contracts, or change hiring.
- Compliance costs can land on profits, prices, wages, employment, entry, or exit.
- Adaptation is heterogeneous by size, visibility, sector, and bargaining environment.
- The observed firm margin often determines the welfare interpretation.

Formalization and informality margins

- Formalization reforms change registration, payroll reporting, inspections, and benefits access.
- Ulyssea: informality as multiple firm and worker margins, not one informal sector.
- de Andrade–Bruhn–McKenzie: information, assistance, and enforcement pressure in formalization.
- Registration may not imply formal jobs or stronger worker protection.

Equal opportunity and procedural reform

- Procedural reforms change who is observed, evaluated, shortlisted, hired, or promoted.
- Goldin–Rouse: blind auditions and hiring procedure.
- The labor margin is advancement through an evaluation process.
- Effects depend on evaluator discretion, occupation structure, and outside options.

Transparency reforms

- Transparency changes the information environment for workers and firms.
- Baker–Halberstam–Kroft–Mas–Messacar: pay transparency and gender gaps.
- Blundell–Duchini–Simion–Turrell: transparency, equality, and pay adjustment.
- Margins include wage gaps, pay compression, bargaining, promotions, quits, and firm response.

- Some reforms change public administration rather than private contracting rules.
- Public employment services, benefit administration, matching systems, and decentralized bargaining all matter.
- Dustmann–Fitzenberger–Schonberg–Spitz–Oener: Germany as broader institutional adjustment.
- Main caution: reform packages are bundled, so the operative margin must be named.

Empirical design map

Setting	Typical design	Observed margin
State labor-law adoption	staggered DID / event study	employment, turnover, contract choice
Enforcement expansion	local intensity variation	compliance, formality, wages
Legal information	randomized intervention	knowledge, take-up, behavior
Formalization program	field experiment or rollout	registration, payroll, contracts
Hiring procedure	event study or experiment	shortlist, hiring, promotion
Pay transparency	threshold DID / distributional analysis	gaps, bargaining, compression
Administrative reform	phased rollout / DID	matching, job-finding, wages

- Take-up: do workers and firms use the reform?
- Compliance: does the rule change behavior or only paperwork?
- Incidence: who pays through wages, profits, prices, employment, or entry?
- Spillovers: what happens to uncovered workers, informal firms, and local markets?
- Inequality: does the reform change gaps, ranks, or access to protection?

- Link legal text, administrative capacity, worker beliefs, and firm-worker data.
- Measure adaptation margins rather than only mean employment effects.
- Study reforms in markets with informality, monopsony, subcontracting, and weak courts.
- Estimate spillovers to uncovered firms and workers.
- Build welfare measures that include information, protection, inequality, and displacement.

- Reproduce: synthetic legal-information intervention inspired by Bertrand–Crepon.
- Diagnose: classify bottlenecks in the reform-transmission chain.
- Transfer: map designs to dismissal protection, enforcement, formalization, transparency, and administration.
- Output: treatment table, bottleneck diagnostic, transfer design classification.

- Week 8 explains why implementation and adjustment make reform effects heterogeneous.
- Week 9 asks which lessons travel across development settings, welfare states, informal economies, and global production systems.
- Comparative institutions require portability questions: what changes when capacity, informality, culture, hierarchy, and market structure differ?
- The next step is to compare institutional regimes, not only individual reforms.

- Reform effects are produced by transmission chains, not legal text alone.
- Worker knowledge, firm adaptation, local capacity, and coverage determine what binds.
- Empirical designs identify specific margins of reform exposure.
- Welfare requires take-up, compliance, incidence, spillovers, inequality, and unintended margins.